

It was little short of nonsense for the stock market to say in 1937 that General Electric Company was worth \$1,870,000,000 and almost precisely a year later that it was worth only \$784,000,000. Certainly nothing had happened within twelve months' time to destroy more than half the value of this powerful enterprise, nor did investors even pretend to claim that the falling off in earnings from 1937 to 1938 had any permanent significance for the future of the company. General Electric sold at $64\frac{7}{8}$ because the public was in an optimistic frame of mind and at $27\frac{1}{4}$ because the same people were pessimistic. To speak of these prices as representing "investment values" or the "appraisal of investors" is to do violence either to the English language or to common sense, or both.

Four Problems. Assuming that a common-stock buyer were to seek definite investment standards by which to guide his operations, he might well direct his attention to four questions: (1) the general future of corporation profits, (2) the differential in quality between one type of company and another, (3) the influence of interest rates on the dividends or earnings return that he should demand, and finally (4) the extent to which his purchases and sales should be governed by the factor of timing as distinct from price.

The General Future of Corporate Profits. If we study these questions in the light of past experience, our most pronounced reaction is likely to be a wholesome scepticism as to the soundness of the stock market's judgment on all broad matters relating to the future. The data in our first table show quite clearly that the market underestimated the attractiveness of industrial common stocks as a whole in the years prior to 1926. Their prices generally represented a rather cautious appraisal of past and current earnings, with no signs of any premium being paid for the possibilities of growth inherent in the leading enterprises of a rapidly expanding commonwealth. In 1913 railroad and traction issues made up the bulk of investment bonds and stocks. By 1925 a large part of the investment in street railways had been endangered by the development of the automobile, but even then there was no disposition to apprehend a similar threat to the steam railroads.